

RICE, et al. v NELSON, et al.

24CV47449

**DEFENDANT McCORMICK'S MOTION TO STRIKE PORTIONS OF
THE FIRST AMENDED COMPLAINT**

On June 18, 2024, Plaintiffs filed their Complaint against Defendants Sharon Nelson, Mark Nelson (collectively, "Sellers") and Wendy McCormick ("McCormick") arising out of a real estate transaction between Plaintiffs and the Sellers.

On November 6, 2024, the Court sustained in part, and overruled in part, the demurrer filed by Defendant McCormick. At that time, the court also granted in part, and denied in part, the motion to strike. Plaintiffs filed a First Amended Complaint ("FAC") on December 18, 2024.

Now before the Court is Defendant McCormick's motion to strike portions of the First Amended Complaint.

I. FACTS AND PROCEDURAL HISTORY

The facts and procedural history were laid out in detail in the Court's November 6, 2024, ruling. In short, this case involves the purchase of real property ("Property") by Plaintiffs and their subsequent discovery of multiple structural issues with the Property.

In the original complaint, Plaintiffs brought causes of action against McCormick for violation of Cal. Code section 2079, constructive fraud, negligent misrepresentation, and breach of fiduciary duty. The Court sustained (with leave to amend) the demurrer to the section 2079 cause of action. In doing so, the Court found that section 2079 requires either a written contract between McCormick and Plaintiffs or that McCormick was a "a broker who acts in connection with that broker to find and obtain a buyer." Accordingly, the Court found that the Complaint did not allege a duty on the part of McCormick towards the Plaintiffs.

The Court also granted the motion to strike portions of the Complaint on the grounds that Plaintiff had not alleged a statute entitling them to attorney's fees and had also not alleged facts giving rise to malice as required for punitive damages.

II. LEGAL STANDARD FOR MOTION TO STRIKE

A motion to strike lies either to strike: (1) any “irrelevant, false or improper matter inserted in any pleading”; or (2) any pleading or part thereof “not drawn or filed in conformity with the laws of this state, a court rule or order of court.” (CCP § 436.) A motion to strike may also be used to strike allegations related to an improper request for relief. (*Saberi v. Bakhtiari* (1985) 169 Cal.App.3d 509, 517.) A motion to strike can be used to attack the entire pleading, or any part thereof—i.e., even single words or phrases. (*Warren v. Atchison, Topeka & Santa Fe Ry. Co.* (1971) 19 Cal.App.3d 24, 40.)

III. Analysis

A. Civil Code 2079.16

McCormick moves to strike the FAC's cause of action for violation of Civil Code section 2709.16 on the grounds that this is a new cause of action not covered by the earlier demurrer. McCormick's argument is unpersuasive. In the prior ruling, the Court sustained the demurrer on the grounds that Plaintiffs had not identified any statutory duty under the Civil Code that would give rise to a cause of action against McCormick. In the FAC, the Plaintiffs bring causes of action under the same provision of the statute but find the existence of a duty in section 2709.16.

Civil Code section 2079.16 sets out the language that must be found in any disclosure form provided to potential buyers or sellers. Pursuant to that code section, any disclosure form must inform the buyer and seller of the legal duties imposed upon the Seller's Agent, including to the Buyer. These duties, outlined in the required disclosure, include:

- (a) Diligent exercise of reasonable skill and care in performance of the agent's duties.
- (b) A duty of honest and fair dealing and good faith.
- (c) A duty to disclose all facts known to the agent materially affecting the value or desirability of the property that are not known to, or within the diligent attention and observation of, the parties.

While this code section addresses what must be contained in the legally required disclosure and does not itself set out a duty, it would be superfluous to require information about an agent's legal duties if those duties were not in fact real. Contrary to Defendant's arguments, Plaintiffs are not raising an entirely new cause of action, but are instead providing exactly what the Court said was missing: a basis for imposing a statutory duty on McCormick.

Accordingly, the motion to strike the cause of action for violation of Civil Code section 2079.16 is **DENIED**.

B. Punitive Damages

Punitive damages are recoverable where a plaintiff proves “by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice.” (Civ. Code, § 3294.) Relevant to this case, “malice” means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of rights or safety of others. (*Ibid.*)

In the prior ruling, the Court sustained the motion to strike punitive damages with leave to amend because Plaintiff had simply made formulaic recitations of the standard required for punitive damages. However, in the FAC, Plaintiff provides greater factual allegations alleging that McCormick knowingly and willfully acted in a manner that she knew would cause harm to Plaintiffs and did so because she prioritized her profits over their safety. At this stage of the proceedings, this is sufficient to allege conduct which could give rise to punitive damages.

Accordingly, the motion to strike punitive damages is **DENIED**.

C. Disgorgement of Fees

A broker who obtains secret profits must return them to the principal on the theory that all profits in the transaction, without full disclosure and a specific agreement to the contrary, belong to the principal. (*Menzel v. Salka* (1960) 179 Cal. App. 2d 612.) However, disgorgement may also be non-restitutionary. (*American Master Lease LLC v. Idanta Partners, Ltd.* (2014) 225 Cal.App.4th 1451, 1482.) Thus, a defendant who has been unjustly enriched by her conduct may be required to surrender her profits, even where the Plaintiff did not suffer a compounding loss. (*Ibid.*) Essentially, where the Plaintiff alleges that a defendant acted with conscious disregard of his rights, the defendant may be required to disgorge her profits in order to deter such conduct in the future. (*Ibid.*)

Here Plaintiff alleges that McCormick knowingly hid information about the safety of the Property in order to ensure that the sale went through and she received a profit. At this stage of the proceedings, this is sufficient to seek disgorgement of fees as a remedy.

Accordingly, the motion to strike disgorgement of fees is **DENIED**.

IV. Conclusion

The motion to strike is **DENIED** as to 2079.16 damages, punitive damages, and disgorgement of fees.

The Clerk shall provide notice of this Ruling to the parties forthwith. Plaintiff to submit a formal Order in conformity with this Ruling in compliance with Rule of Court 3.1312.